

WRD · FY2025 Q4

WeRide Inc. · 33 turns · 11 participants

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Operator

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CONFERENCE OPERATOR Operator

Good morning and good evening, ladies and gentlemen. Thank you for standing by and welcome to REWRITE's fourth quarter and full year 2025 earnings conference call. Please note that today's event is being recorded. At this time, all participants are in listen-only mode. For today's call, management will use English as the main language. A third-party interpreter will provide simultaneous Chinese interpretation. The company will be hosting a question and answer session after management's prepared remarks. If you wish to listen to management's original statements or ask a question during the question and answer session, please make sure you are dialed into the English language line. Please note that the Chinese interpretation is for convenience purposes only. In the case of any discrepancy, management statements in their original language will prevail. Joining us today are WeRights founder, chairman, and CEO, Dr. Tony Han, and CFO and head of international, Ms. Jennifer Lee. Before we continue, I'd like to refer you to the safe harbor statement in the company's earnings press release, which also applies to this call, as today's call will include four looking statements, including WeRights strategies and future plans. These forelooking statements are made under the safe harbor provisions of the U.S. Private Securities Litigation Reform Act of 1995. Forelooking statements involve inherent risks and uncertainties. The company's actual results could differ materially from those stated or implied by these forelooking statements as a result of various important factors, and please refer to the risk factors section of the company's Form 20F filed with the SEC and announcements on the website of the Hong Kong Stock Exchange for a full disclosure of these risk factors. The company does not assume any obligation to update any forelooking statements except as required under applicable law. Please note that all numbers stated in management's prepared remarks are in RMB terms and we will discuss non-IFRS measures today which are more thoroughly explained and reconciled to the most comparable measures reported in the company's earnings release and filings with the SEC and the Hong Kong Stock Exchange. The company's unaudited financial and operating results were released earlier today via Newswire and can be found on the company's IR website. And with that, I now turn the call over to the company's founder, chairman and CEO, Dr. Tony Han, please go ahead, sir.

TONY HAN Founder, Chairman, and CEO

Hi, everyone. Thank you for joining us today. As a global leader in autonomous driving, we delivered strong results over the past year with a record high revenue of RMB 685 million, growing 90% year over year. driven by expanding Robotaxi deployments as well as robust demand for RoboBus and other autonomous driving products. Robotaxi revenue has increased 210% year-over-year, reflecting the continued commercialization of our technology. By today, our global Robotaxi fleet size has reached the new height of 1,125 vehicles, We are seeing encouraging momentum across both our domestic operations in China and our international markets. As we continue to scale, I'll walk you through the key developments driving our growth, leveraging large-scale data training and world model simulation, as well as improving algorithm generalization. We also made solid progress in operating efficiency, fleet expansion, service coverage, and user adoption. On the operation front, total cost of ownership decreased by approximately 38%, driven by reduction of vehicle bump costs and the improvements of operating efficiency. The bump costs of our latest robotaxi GXR is cut by 15%, enabled by the adoption of our cost-effective computing platform HPC 3.0. At the same time, our remote assistance human to vehicle ratio improved from 1 to 10 in 2024 to 1 to 40, currently making labor cost marginal and further strengthening unit economics. Fleet size and service coverage also continue to improve. Our commercial and testing fleet in China has grown to more than 800 robotaxis, covering over 1,000 square kilometers across key urban areas. As fleet density increased, we also saw meaningful improvements in service performance. Average daily orders per vehicle reached 15 trips over the past six months, rising to 26 during peak periods. Average passenger waiting time declined to under 10 minutes, reflecting stronger demand and improved vehicle utilization. We continued expanding our presence in Beijing and Guangzhou, focusing on populated areas, connecting key transportation hubs such as major airports and railway stations, along with further penetration into downtown areas. In Guangzhou, for example, our robotaxi service is now available in Tianhe District, one of the city's most active commercial hubs. On the product side, we launched a flexible free poodle feature, allowing riders to select any pickup or drop-off location within the service area. At the same time, we broadened access through major mobility platforms, including AMAP, WeChat, and Tencent Mobility. Encouragingly, we are seeing substantial increase of registered users of WeRide Robotaxi service. Take the fourth quarter as an example. The year-over-year growth of registered users exceeds 900%, reflecting stronger user acceptance and engagement. Overall, we believe we ride long-standing leadership in Robotaxi technology, combined with extensive real-world operational experience, forms a durable and hard-to-replicate competitive mode, continues to resonate with users. At our operations scale, we expect further growth in vehicle utilization and user adoption going forward. Let's now turn to our international operations, where we continue to build on our progress, expanding our global footprint. Today, we have deployed autonomous vehicles in 12 countries, with official permits already granted in 8 of those markets. This progress demonstrates our ability to navigate complex regulatory environments while meeting local requirements. Taken together, these milestones position us as the most globally deployed autonomous driving company today. Europe is shaping up to be another major growth area for us. Back in November 2025, we achieved a historic milestone. receiving Europe's first-ever driverless robotaxi permit for passenger service from Switzerland's Federal Roads Office. That head start gives us a real advantage as we look to expand further across Europe in the coming years. Apart from this, just this month, we added another country to our global map as we announced our entry into Slovakia. We are deploying our full product line up there launching the country's first-ever AV program. Slovakia is also the fourth country for our European footprint. The Middle East remains one of the most promising regions. In Abu Dhabi, we secured the world's first city-level fully driverless robotaxi commercial permit outside the US in October 2025. Today, our service covers about 70% of the city's core area. and passengers can book through various categories on Uber app, including Uber Comfort, UberX, all the new autonomous category, Uber's first dedicated autonomous ride option globally. In that quarter, we also launched commercial robo-taxi rides in both Dubai and Riyadh. We've also started pilot operations in Ras Al Khaimah, giving us a presence in a third UAE emirate. In Asia Pacific, we are building early momentum with strong local presence. In Singapore, WeRide and Grab began autonomous vehicle testing in the

Punggol district back in November 2025. Our RoboTaxi, GXR and RoboBus are expected to open to the public by April 2026, making Punggol Singapore's first residential neighborhood with an autonomous shuttle service. A big part of what makes all this possible is our disciplined approach to international expansion. Our strategy focuses on markets with supportive regulatory environments and favorable economic conditions that are conducive to sustainable operations. Today, our international Robotaxi fleet has surpassed 250 vehicles, and we continue to scale deployments across key international markets, including Abu Dhabi, Dubai, Riyadh, Switzerland, Slovakia, and Singapore. Each new market we enter becomes a regional blueprint for expansion into adjacent markets. Looking ahead, we expect our global robo taxi fleet to reach 2,600 by the end of 2026, subject to regulatory approvals and market conditions. These milestones represents the early stage of our long-term vision to deploy tens of thousands of robotaxis worldwide by 2030. While robotaxis services at the core of our business, we are actively diversifying to other areas of autonomous mobility to build a broader portfolio and generate additional revenue streams. Across our diversified applications, we ride global AV fleet spending robo-taxes, robo-buses, robo-vans, and robo-sweepers grew rapidly from 1,089 vehicles at the end of 2024 to 2,113 as of today, strengthening our global presence across 12 countries. Take our robo-bus business as an example. It has seen impressive growth in 2025, increasing by 190% year over year. We've entered multiple European markets, including Switzerland, France, Belgium, Spain, and Slovakia, where labor shortages in public transit systems are creating real opportunities for autonomous shuttles. By leveraging our technology to meet this demand, we're able to address a pressing need while also expanding our market presence. Additionally, our L2 Plus Advanced Driver Assistance System, vPILOT 3.0. vPILOT 3.0 is being adopted by leading OEMs and Tier 1 suppliers, including Sherry, GAC, and Bosch. This system uses a one-stage end-to-end architecture with vision-based perception enables vehicles to operate safely and efficiently across diverse driving conditions. In the second China Urban Intelligent Driving Competition hosted by D1EV.com, Sherry Exceed, a mass-market passenger car model powered by V-PILOT 3.0, made history by winning first place in three cities' competition stops. This business expansion helps us capitalize on the growing demand for L2 Plus ADAS technologies, even outside of our L4 fleet. Innovation remains at the heart of our strategy. Building on our strengths in L2 Plus end-to-end systems, WeRide is converging its technology stack toward L4 by integrating end-to-end learning with large-scale simulation, and real-world data loops to enhance generalization and edge case handling. Our latest development, WeRide Genesis, is a general-purpose simulation platform that integrates physical AI and generative AI. WeRide Genesis generates high-fidelity driving scenarios much more efficiently, reducing simulation time for complex edge cases from days to minutes. This boosts our development efficiency and enables us to quickly test and deploy improvements to our systems, while significantly reducing on-road testing costs, reinforcing the technological mode, underpinning our L2 to L4 product portfolio. On the hardware side, we've taken our partnership with GDFriesen to the next level. The latest GXR as a purpose-built, factory pre-installed autonomous vehicle is delivering higher safety consistency and lower unit cost. The upgraded model incorporates our proprietary HPC 3.0, a high-performance computing platform, which is a more compute-efficient architecture. And here's the number that really shows the efficiency gain. Per vehicle production time is now under 10 minutes. These advancements will give us a significant edge in terms of both vehicle performance and scalability of our global robot taxi fleet. With that overview, I'll now turn the call over to our CFO, who will walk you through our financial performance and outlook in more detail.

JENNIFER LEE CFO and Head of International

Thank you, Tony. Hello, everyone. Before we dive into the financials, I want to highlight that all figures are in RMB and comparisons are year over year. unless stated otherwise. Now let's discuss our fourth quarter and full year 2025 financial performance. Looking back, Q4 2025 will be remembered as a defining chapter in WeRide's journey, as we continue to make steady progress in scaling operations, improving unit economics, and advancing our technological leadership. Our fleet and geographic coverage grew significantly, showing strong momentum as a global leader in

autonomous driving. Now, let me walk you through the financial performance that reflects these developments. In Q4 2025, total revenue was \$314 million, representing an increase of 123%. Product revenue increased 309% to \$211 million, mainly driven by increased sales of robo-taxis and robo-buses. Service revenue increased 15% to \$103 million. For the full year 2025, total revenue increased 90% to record high \$685 million. Product revenue and service revenue were \$360 million and \$325 million respectively, representing an increase of 310% and 19% respectively. Robotaxi continues to be one of the most crucial drivers among the business lines. In Q4 2025, WeRide has reached another record high quarterly Robotaxi revenue since its foundation, as its Robotaxi revenue has increased 66% to 51 million. For the full year 2025, Robotaxi revenue also achieved an annual record high of 148 million, with a 210% growth year over year. This growth is powered by our asset line model. We provide the autonomous driving brain while mobility and fleet partners handle operations and vehicle ownership. This keeps vehicles off our balance sheet, enables efficient scaling, and aligns incentives to deliver a consistent user experience. Our Robotaxi revenue is also supported by a combination of ongoing service fee and recurring ride-hailing revenue share from platform partners. Our global expansion in Robotaxi operations has firmly established us as a leader in the rapidly evolving autonomous mobility landscape. In particular, our international business is becoming an increasingly important driver of group revenue. For full year 2025, overseas markets contributed approximately 29% of total revenue, spanning a diverse set of geographies, including the Middle East, Europe, and Asia Pacific. At the same time, our focus on operating efficiency has allowed us to sustain healthy margins even as we scale. In Q4 2025, group level gross profit increased 74% to 89 million with a group level gross margin of 28%. For the full year 2025, group level gross profit was 207 million, representing an increase of 87% with a group level gross margin of 30%. These results highlight the strengths of our business model and reinforce our confidence in our global expansion strategy. In Q4 2025, operating expenses increased slightly by 2% year over year to \$655 million, with R&D representing 63% of the total. For full year 2025, operating expenses decreased by 11% to \$2.04 billion, with R&D representing 67% of the total. The decrease in operating expenses was primarily driven by lower administrative expenses, partially offset by increases in R&D and selling expenses. As our primary investment area, the rise in R&D spending reflects our focus on long-term technological leadership, while disciplined cost management kept overall operating expenses under control. To break down further, R&D expenses increased by 29% to \$411 million in Q4 2025 and increased by 26% to \$1.37 billion. For the full year 2025, primarily driven by our continued investments in top tier talent and the expansion of our next generation data center infrastructure, building a high performance backbone to support our L2 plus to L4 autonomous driving capabilities. This continuous R&D commitment is essential to maintaining our competitive edge and driving future growth. Administrative expenses decreased by 29% to \$217 million in Q4 2025, and decreased by 48% to \$596 million for the full year 2025. The decrease was mainly driven by lower share-based compensation and partially offset by growing professional service fees, personnel costs, and depreciation and amortization expenses. Selling expenses increased by 76% to \$27 million in Q4 2025, and increased by 37% to \$74 million for the full year 2025. These increases are in line with the growth of our business. Our net loss narrowed by 6% to \$5,565 million in Q4 2025 and narrowed by 34% to \$1.65 billion for the full year 2025. Building on our successful Hong Kong IPO in Q4 2025, we ended the year with a strong capital position. As of the 31st of December, 2025, we had total capital reserves of 7.13 billion, comprising 6.97 billion in cash and cash equivalents and time deposits, 144 million in investments in wealth management products, and 19 million in restricted cash. We maintained short-term bank loans of 324 million to support daily operations. With disciplined cash deployment, this level of capital provides a solid operating buffer and underscores our financial strength to support continued growth. On the 23rd of March, 2026, our board of directors authorized a share repurchase program under which we may repurchase up to U.S. dollar 100 million of our Class A ordinary shares, including in the form of American depository shares over the next 12 months. This authorization also reflects our commitment to shareholders and our confidence in the long-term value of WeRide. Looking ahead, we are moving forward with clarity and conviction. By end of 2026, we expect to have 2,600

robo-taxes globally, marking the first phase of our path toward tens of thousands of robo-taxes by 2030. As our fleet scales, we see a clear path to extending our proven deployment model to more cities worldwide. Supported by a strong balance sheet, relentless focus on operating efficiency, and deepening partnerships, we are well positioned to lead the next chapter for autonomous driving industry. With that, operator, we're now ready to take some questions.

JIAJIE SHEN Analyst at JP Morgan

Thank you.

CONFERENCE OPERATOR Operator

We will now begin the question and answer session. As a reminder, we only accept questions in the English language line. To ask a question, please dial in to the English line and then press star 11 on your telephone's touch tone keypad. If you have any further questions, please re-enter the queue. Thank you. A moment for our first question. We will now take our first question from the line of Kai Hsiao of CICC. Please ask your question, Kai. Your line is now open.

BEN Analyst at CICC

Thank you, Tony and Jennifer. This is Ben from CICC. So I have two questions. First one is, quite a few OEM and tier one peers are also working on L4 Robotaxi, such as Horizon Robotics and Momenta. So what's your view on this matter? And the second one is on the L2 Cloud. So recently, we write ADAS showed an industry-leading capability in a highly challenging real-world computation. So could you share the key differentiation between V-Write's ADAS capability versus the peers?

TONY HAN Founder, Chairman, and CEO

Thank you. Thank you very much, Kai, for these two important questions. And I truly appreciate you asked these two questions. So first of all, the first question is about Like quite a few OEM and tier ones you just mentioned, like a few names like Horizon and Vomenta, they claim they're working on RoboTaxi and What's My View. So first of all, I think as a first mover and the industrial leader, as the CEO of first mover and the industrial leader of autonomous driving company like WeRide, I have to say we welcome all the players to join this competition. And that means like the whole ecosystem, and how the industry is really attractive, and there's a great market potential. So only in a very interesting and juicy and profitable market, you can see, you can experience competition. Having that said, I just want to remind some competitors or new players the difference between ADA system, which they are very familiar, and the L4 driverless robo taxi system, which they are not familiar. Lots of time, people have to do some conjecture of extrapolation from what they are familiar, like L2++ system, and then they want to think, okay, we just increase the reliability, increase a little bit of speed of our system, and we can achieve driverless operation. My answer to that kind of extrapolation or extrapolative thinking is like, you haven't seen the difficulty, what you haven't seen. So the thing is like, why am I in a position to say that? Because WeRide is the only company currently, to my best knowledge in this world, good at ADA system, at the same time, good at driverless operation or robo taxi. So for example, in the uh china urban intelligent driving competition just finished uh like last month we we actually uh two days ago we won the championship once again so we ride is the only company won this championship three times in a row we made a history so which means like you know in you know uh in that competition the the companies you mentioned like momenta and horizon they all enter the competition but we write just one three times over them so we know pretty much the adas and we are very familiar in the adas system area that they are familiar on the other hand side uh you know i would say if you want to claim yourself to be a l4 level autonomous driving company a robo taxi company you have to have a substantial operation what do i mean You should have at least 50 driverless cars running in the city with a population of at least 1 million people. If you just have 10 cars and with a safety driver behind the steering

wheel, you cannot claim yourself as a robot taxi company. Of course, lots of people can claim like you are working on something. That's great. But to make sure you are really the player of the field, you have to demonstrate you have the real driverless operation. Therefore, I want to emphasize the technology barrier between L2++ and L4 is huge. And to really make yourself like a significant or serious player in the robot taxi field, you really need to demonstrate your capability in driverless operation. Besides, you know, there's the other factors like hardware maturity, software integration, full redundancy architecture, regulatory approvals, operational stability, all of these factors traditional adult company haven't experienced. So my view is like, we ride, and also with some other leading autonomous driving L4 level taxi company has really a strong advantage. So we welcome this kind of competition, but we are very confident with our current leading position our current footprint in the international market. That is a huge gap. I don't foresee any newcomers can catch up soon. So this is my answer to the first question. Okay, the second question is about our recent extraordinary results in the China Urban Intelligent Driving Competition. And so what differentiates us between our peers? So I think the ranking and scores tell us all, right? So back in this kind of autonomous, this China urban intelligent driving competition holds once every month or once every two months, depends on period, okay? And in history, there's only one company won this kind of championship twice in a row. That was Huawei. At that time, they have a, they have a very big advantage. But there has never been a company that has won this kind of championship three times in a row. Since last year, November, and then December and this year, March, we won three times in a row. You know, the competition has been entered by all the companies, famous autonomous driving company or car apps in China, you can name it. Xpeng, Li Auto, Neo, Xiaomi, Momenta, Horizon, Huawei, Zeker, they all entered the competition. But we won this kind of competition three times in a row. That demonstrates our capability. And what is the secret sauce behind this? We have several. First, one of our one-stage end-to-end system training based on both synthetic and real data from our L4 level autonomous driving robot taxi from our L2++ level data. And that helped a lot at our unique one-stage end-to-end architecture, which is different from VLA. And that one gave us a big advantage. Thirdly, the data generated from our Genesys model. And this Genesys model is superior, and it can generate data according to our needs and also reduce our data collection cost by 75% with all this technology combined give us a kind of leading position in the ADAS field. That's all my answer to these two questions. Again, thanks for the question, Kai.

CONFERENCE OPERATOR Operator

Thank you. We will now take our next question. From the line of Mingxuan Li of Bank of America, please ask your question. Mingxuan, your line is open.

MINGXUAN LI Analyst at Bank of America

Hi, Tony and Jennifer. Thank you for taking my question. I also have two questions for you. So first, could you please elaborate the robot taxi expansion plan of both China and international markets? And what is the delivery schedule for the 2,000 vehicles signed with GD Verizon. Thank you. And a second question, could you also share your forward-looking plan for the Middle East, given peers' market entry, geopolitical conflict, and also the involvement of the partnership with Uber? Specifically, what is the timeline of the deployment of 1,200 vehicles with Uber? Thank you, Tony.

XINYU FANG Analyst at UBS

Okay, I'll take the first question. I guess we can take the second question. Thank you, Ming.

JENNIFER LEE CFO and Head of International

Both China and international markets are core to VRI's growth strategy. As you just mentioned, we've written signs as to that it's actually an extended agreement with Geely Verizon for additional 2,000 upgraded Robotechs that we call

GXR in 2026. So by end of last year, Our fleet has surpassed over 1,000 robotaxis. Taking into consideration of the phase delivery of the newly pre-installed GXR, and then also the retirement of some of the older vehicles we have, we expect to reach around 2,600 robotaxis globally by end of this year. Um, China definitely is going to be the, uh, it is the, it is the cornerstone of our business where we focused on cities with a very supportive policies for autonomous driving and, um, high population densities or tier one cities in China, like say Guangzhou and Beijing, they both fit this profile very well. Um, in Guangzhou, for example, uh, we plan to gradually scale towards city level operation, like what we already have in Abu Dhabi. We are also expanding into another major tier one city in China, and we look forward to share more of that details soon with everyone. And on the international side, Middle East continue to be a very strong base for us. We run the largest robo-taxi fleet at city level in Abu Dhabi, and we are the first to started robo-taxi public operation in Dubai and in Riyadh as well. So we'll continue to our strong like momentum in the Middle East. Also Europe is a key focus. Our robo taxi obtained the first and only driverless operation permit in Europe from like the Switzerland government last year. Building on this momentum, we are really looking to further expand it in market like, say, Madrid, and potentially one more core city in Europe this year. And of course, we'll continue to expand our robot taxi operation in Zurich as well. Tony, you want to take the next question?

TONY HAN Founder, Chairman, and CEO

Sure. So just kind of a general reminder to everybody, like, the second question is really about our future plan. for the Middle East and what is the timeline of deployment claimed 1,200 vehicles with Uber. Right now we have around 200 vehicles in the Middle East and together with Uber we plan to add at least 1,000 more by 2027 and we expect to be the first to reach 1,000 vehicle scale in this region. It's really not easy and we have spent a ton of efforts and planned a lot and sometimes retrofit and redesign our vehicles and do lots of technology efforts to meet this number. Operationally, we are carrying out business as usual. I think you have known, you know, we are already running city-level full-drive-reservable taxi service in Abu Dhabi and we aim to do the same in Dubai this year. We are currently the only company offering robo-taxi service to the public in both cities and that first mover advantage is meaningful. Our scale regulatory progress, strong partnerships and safety record all support this position. On the geopolitical tensions we are currently experiencing, we are monitoring development very closely with a continued focus on the safety of our local teams, and maintaining a reliable operation. So far, we have not seen any material impact on our business. Our global footprint and diversified presence also give us confidence in navigating potential uncertainties. Regarding our partnership with Uber, our five-year 15-city rollout plan remains on track, and we expect to announce new city launches in due course this year. Okay, that's the answer to this question. Any other questions?

CONFERENCE OPERATOR Operator

Thank you. We will take our next question from Team Shell of Morgan Stanley. Please ask your question. Team, your line is now open.

TIM Analyst at Morgan Stanley

Hi, Tony and Jennifer. This is Tim from Morgan Stanley. Thanks for taking my questions. I have two questions. I think the first one is basically I want to follow up on the L4 competition because at the NVIDIA GDC idea this month, we noticed that the rewrite again showcased the RoboTaxi GX car. I think the model is powered by NVIDIA Hyperion platform and the Thor SOC. Although we noticed the collaboration with NVIDIA has helped rewrite to effectively reduce the cost, accelerate global expansion, but these days I think NVIDIA also supplies similar ready solution to many of rewrite's competitors and also automaker for the long-term L4 developments. So my question is, how does WeRide address the challenge of Robotexy homogenization in the long term and can keep successfully differentiating? That's my first question. Thank you.

Thank you, Tim. You know, this is a great question. So first of all, I think, you know, currently, like many players, they define their autonomous driving system based on NVIDIA's 4X platform. But I want to emphasize, you know, Just to make an announcement like we are going to adopt NVIDIA Thor X is easy, but to really make a reliable and workable autonomous driving system based on NVIDIA Thor X is very challenging. We came up with Lenovo and NVIDIA and spent two years to design our HPC 3.0 auto grade. And we actually produced the first of its kind of auto-grade computational platform for RoboTaxi with a computational power of 2,000 hops. You can look around and see whether any other people have this kind of computational platform of 2,000 hops and with redundancy. Not easy. We have lots of build-up on top of this. AutoGrade computational platform besides we build up our simulation simulator and the data collection integrated platform Genesis and this one can Generate lots of data and can be integrated into In the training and then can be valued with HPC 3.0. So that one is actually a very very advanced system so in the long run I don't think just a general, very generic universal platform can help the inexperienced or not that strong technological player so that everybody can become a significant player in Robotaxi, or i.e. democratize the whole industry. No, it's not like that. People actually have tried that before. I just want people to remember, Four or five years ago, Baidu rolled out this Apollo platform. The goal is very close to what NVIDIA wanted to do, roll out open source, some code, and everybody can work on it. But today, to our best knowledge, no driverless robot taxi fleet developed use of Apollo. Even Baidu used his own closed source platform to work on it. So whether that open source can be used by some third party and then deploy reliable driverless operation is an unproved concept. And actually, I'm quite skeptical on that. So we are very confident. for our competitive edge in the next five years and in the next 10 years. We have a leading position. I think we have maybe a larger and larger leading advance. So in that part, we are quite advanced. That's my answer to your question, Tim.

TIM Analyst at Morgan Stanley

Thank you. Thank you, Tony, for sharing all the details. My second question is also a quick follow-up regarding our global partnership with Uber, because I think most of us know that we have a close strategic tie-up with Uber for global expansion. Yet, in the meantime, I think Uber has the right housing platform the company continues to onboard more of a taxi service provider, like in the U.S., Rivian, Zix, Motional, and in the rest of the world, like Wave, et cetera. So facing this kind of dynamic of both cooperation and competitions, how does WeRide ensure its long-term share of ride-hailing orders in overseas markets can keep growing and the state as a major supplier to Uber? And lastly, how does WeRide plan to enhance is to see capability globally. That's my second question. Thank you.

JENNIFER LEE CFO and Head of International

Okay. Tony, you want to take this?

TONY HAN Founder, Chairman, and CEO

No, Jane, if you want, you can go ahead to take. Yeah, please go ahead.

JENNIFER LEE CFO and Head of International

Yeah, I'll take this question. So, Tim, first of all, Uber is an important shareholder and partner for V-Ride. We believe their incentive is to maximize our V-Rides, like Robotech's utilization. And... As a matter of fact, with all the partnerships they have signed to today, you can only get RoboTaxi on the Uber platform from Vride and from Waymo. That's it. And we do have a very concrete plan to scale together. In the key market, like say Middle East, We have the first and foremost operation right. We're going to have launched 1,200 robo-taxi, which will be fully delivered by 2027. This is going to be a very, very large and definitely the largest robo-taxi fleet outside China and US. And on top of that, we operate robo-taxi, robo-bus, robo-van and other products globally. We act more like an infrastructure

partner directly to the local government. Let's say in the lava, we are bringing our robo taxi, bus, robo bus, robo van, robo sleeper all together in one go. We are the infrastructure partner to those local government. So we're not just like Uber supplier, and we own most of the autonomous driving license. The government directly issued this license to us. So also in the presentation we just did in the video, you can see that our global taxi partners worldwide, including, besides Uber, And we also have like Grab, SBB, FTL, Ioki, like TXCI, and a number of local partners. We have different local partners in different local markets. So yeah, and just to emphasize on the licensing mode, we are the only one that holds autonomous driving permits in eight countries. Based on our knowledge, this is definitely the broadest in our industry. This creates a very high barrier to entry. And also, even on Uber and through other product categories, whenever we have the public service deployment, we are building the V-Ray brand recognition directly based on consumers as well. So if you talk, say, in Singapore, in Abu Dhabi, in the Middle East, in Dubai, in those cities, people know that V-Ride brand quite well, I would say. So the bottom line is like, we're not just one of Uber's vendor. We're their equity linked key operator and key robo taxi providers in key markets with a proven unit economic economy. And then we think our multi-scenario, multi-country footprint will make us a very essential part of the urban mobility infrastructure, not just a replaceable supplier by anyone. That's my answer to your question.

TIM Analyst at Morgan Stanley

Thank you so much for the details, and congratulations again on the strong results. Thank you. Thank you.

CONFERENCE OPERATOR Operator

Thank you. We will now take our next question from Jiajie Shen of JP Morgan. Please ask your question, Jiajie. Your line is open.

JIAJIE SHEN Analyst at JP Morgan

Thank you for taking my question and congratulations on the very strong results. My first question is regarding fleet utilization. How do you expect it to grow in China and what are the implications to unit economics? And my second question is regarding overseas business. Your global business is showing great progress and this is truly impressive. Could you please share more about key figures of the overseas business in 2025 and what are the 2026 guidance of key operational and financial metrics? Thank you.

TONY HAN Founder, Chairman, and CEO

Okay. I will take the first question. The first question is about the fleet utilization growing in China and also it's about like the implications to unit economics. So first of all, we are taking a number of steps to improve utilization, raising fleet density in existing service areas, rolling out free pickup, drop-off, i.e. PUDU, and extending operation hours. And we are seeing that, translating to results, user adoption rate has been strong. Our robo-taxi user cases in China grow over 900% year-over-year in Q4. This is an extraordinary number, and I don't expect we can keep this kind of number every year, but still it's kind of an extraordinary number. And our vehicle utilization is also trending up. Today, each vehicle averages about 15 trips per day, with peak days reaching around 26 trips. some peak day like basketball or some very special Valentine's Day. The average trip distance is about five kilometers and pricing is roughly two RMB per kilometer, which represents 30 to 50% discount to traditional ride hailing. This is a deliberate promotional strategy as we scale region by region and drive our user adoption. As we expand to city-wide coverage, like what we are working on toward Guangzhou, and the deepening integrations with platforms such as AMap from Alibaba, WeChat from Tencent, and Tencent Mobility, to match convenience of traditional ride-hailing, we expect pricing to move closer to the standard rate, around 3 RMB per kilometer. At this point, we see a clear and achievable path to improve economy in China. Over years, as our fleet size and coverage expand, we are targeting 25 trips per vehicle per day, because, you know, autonomous driving vehicles, robo-taxi, they don't need a driver and then, you

know, you don't want to don't have an exhaustive driver therefore we can keep on going as long as we can take orders at steady state we expect contribution margins in china to be over 40 percent okay that's my answer to your first question i think uh yeah that's my tutorial question yes uh the second question is about the overseas business um and uh and some of the forecast right so so yeah so um so our

JENNIFER LEE CFO and Head of International

Our international business is growing at a really, really, like, pleasant rate. And for the Q4 2025, the overseas revenue was up 140% year over year, and it's contributing 31% of the total revenue. And with the growth margin at, like, 40-ish, almost 50%. And for the full year 2025 and our overseas revenue grow about 305% year over year and accounting for roughly 29% of the total revenue. So the growth margin was around almost 50% as well. So overseas market offers significantly stronger like growth and profitability potential. For example, our Middle East subsidiary is already profitable on a standalone basis. So looking ahead to 2026, we expect the revenue to continue to grow at a healthy pace. We are also on track to reach our goal for the global robo-taxi fleet, as well as for different regions. we believe we can still reach the goal by end of the year. And on the growth margin side, we expect the growth margin to remain relatively stable for the international business. And yeah, on the cash side, the operating cash flow may increase modestly on the group level since we continue to invest for talent and and our R&D to support the long-term core growth of the company. We'll provide more detailed guidance in the upcoming earnings release, but directionally, this reflects how we are thinking about how we build up the business and the financial forecast. Thank you.

CONFERENCE OPERATOR Operator

We will now take our next question from Leo Yeo of CLSA. Please ask your question, Leo. Your line is open.

LEO YEO Analyst at CLSA

Hi. Good evening, Tony and Jennifer. It's Leo from CLSA. Also two questions from me. And first is, could you please walk us through the key cost reductions and technology innovations behind the upgraded GXR? and how would that drive further unit economics improvement going forward? And secondly, we are also very glad to see that you announced the share buyback plan, and could you please elaborate more on the thought process and how you're going to execute the share buyback plan going forward? Thanks very much.

JENNIFER LEE CFO and Head of International

Okay, I think both questions, I'll answer both questions. Thank you, Leo. The first one is on the cost reduction of GSR. And then maybe I try to answer the question in a different way from the total cost of ownership perspective. As we mentioned earlier, the TCO for the China fleet has declined by as much as 38% in 2025. And the two main drivers are below, first of all, We have, which is now with Tony has already shared, there's a significant improvement in the remote assistant ratio from 1 to 10 in 2024 to 1 to 40 by end of 2025. So we also have a similar efficiency gains for the grid operator. So on both ends, there's efficiency improvement on the operation level. And second, we have seen an overall 30% reduction in the BOM cost. That includes upgraded the HPC as well as for the pre-installed new JXR robotaxi. Meanwhile, now we are starting to have like a larger volume. So scale is starting to deliver the real benefits. As our fleet expands, we see a meaningful cost reduction through the volume procurement. Also on the software side, I still want to remind everyone, so the game changer here is really our VRA Genesis. The Genesis allows us to handle the edge case much more efficiently and accelerate the iteration cycles. So it's easier for us to deploy in a much larger ODD and with less remote assistance needed. So together, these are delivering very meaningful improvement in our cost structure. Yeah. And the other one is regarding the share buyback. So today, our board of directors authorized a share repurchase program effectively as of March 23, 2026, which is today as well. repurchase up to a US \$100 million worth of our Class A ordinary share from both Hong Kong Stock Exchange and Nas-

daq over the next 12 months. It's actually subject to the scope and limit of the repurchase mandate granted by the shareholder of the company on March 13, 2026. and approval of a similar repurchase mandate to be put forward to shareholders at the upcoming 2026 Annual General Meeting for the company. So our proposed repurchase may be made from time to time on the open market at the prevailing market price and in the privately negotiated transaction in block trades Yeah, depending on the market condition and accordance with the applicable rule and regulation. Yeah, that's my answer to your question, Liu. Thank you.

CONFERENCE OPERATOR Operator

Thank you. We will now take our next question from Xinyu Fang of UBS. Please ask your question. Xinyu, your line is open.

XINYU FANG Analyst at UBS

Hi, thank you for taking my question. And congratulations on delivering solid revenue growth and operation expansion. My first question is about revenue structure. We noticed that there has been quarterly fluctuations in the contribution of product and services revenue. How should we think about the revenue structure of the company going forward, both in the near term and medium term? And as for my second question, apart from the 100 million share buyback program, Could you please share a little bit more on the future cash deployment plan of WeWrite? Thank you. OK.

TONY HAN Founder, Chairman, and CEO

I will take the first question. So in 2025, our robo-taxi contributed 22% of the total revenue, and the robo-bus contribute 34%. and our L2++ ADAS and data service contribute 29%. Together, these three pillars accounted for around 85% of our business, with RoboWeb and RoboSweeper making up the remaining 15%. So that is the detailed numbers. But if you do a forward looking, looking ahead, RoboTaxi, RoboBot, and L2++ will remain our core growth engines. supported by strong synergies across our integrated autonomous driving ecosystem. We have a platform strategy. Robotaxi is the fastest growing segment with significant scalability and improving unit economics, especially overseas. So we expect its revenue share to increase over time. Just want to emphasize, We write inherently it's a RoboTaxi technology company. We have many products, but RoboTaxi is the core. RoboBus is currently our most geographically deployed business and benefits from clear synergies with RoboTaxi in both regulation and commercialization. L2++ continues to gain traction with the partners like Cherry, GHC, and Flush. serving both as a revenue stream and a platform to validate our technology. Meanwhile, RoboVans and RoboSweepers provide complementary value with lower cost, fixed route operation that also help us enter and educate new markets. Overall, this diversified portfolio gives us both scale and balance, which we see a key strength. I think if you look at all autonomous driving companies in this world, WeRide is unique, and only WeRide adopts this technology.

JENNIFER LEE CFO and Head of International

I'll answer Xin's last question. For the cash deployment side, we end 2025 with a little bit over a billion dollars in the cash reserve, which is a strong foundation to support our expansion. Our net cash burn rate is less than 200 million US dollars based on the past pattern. At the same time, our revenue growth is really accelerating, we can see from today's results. Our operating cash flow is becoming increasingly a more important funding source for us. At this scale, we are not just investing and raising capital from the capital market. and then spending all just on R&D assets, we are generating cash ourselves and at a relatively fast speed as well. So overall, we are in a very solid liquidity position and we'll continue to invest with discipline while we still maintain an unburdened way to execute our growth strategy. Yeah.

CONFERENCE OPERATOR Operator

Thank you. All right. Thank you. Due to time constraints, I'll conclude the call today. Thank you for your participation in today's conference. This does conclude the program. You may now disconnect.

TONY HAN Founder, Chairman, and CEO

Thank you very much.